

ECON 101

TA Worksheet, Module 5

Name: _____

DATE: _____

1. Think of some goods you buy that (for you) have very inelastic demand. Why is your demand inelastic for these products?
2. My son, Levi, wanted to sell lemonade on the sidewalk by our house. I told him he had to charge \$1 per cup. After selling 10 cups he got tired and gave up. The next day I said he could charge \$2 per cup. That day he decided to stay out longer and sold 30 cups. Using this info, what can we calculate? What number to we get?
3. Suppose we have this demand curve: $Q=20-0.5P$. What is the price elasticity of demand if the price falls from 6 to 4?
4. Suppose two goods are PERFECT complements (you never buy one without buying the other). How does the cross-price elasticity of demand relate to the products' PRICE elasticity of demand?
5. At a price of \$12/dozen, Doug's 'Nuts sells 100 dozen doughnuts. At a price of \$8/dozen Doug's would sell 200 dozen. Is demand elastic or inelastic?

PRACTICE QUESTIONS – from Practice Exam 1 Old

Question 9

1 pts

(Figure: Market for Stevia) Stevia is a natural sweetener that is used as a sugar substitute. Which of the following graphs illustrates the impact of a rise in the price of Stevia on the demand for sugar?



- ☐ Graph A
- ☐ Graph B
- ☐ Graph C
- ☐ Graph D

Question 26

1 pts

The price elasticity of demand for a good with a vertical demand curve is:

- ☐ elastic.
- ☐ inelastic.
- ☐ perfectly elastic.
- ☐ perfectly inelastic.

Question 14

1 pts

Holding all else constant, if people eat out more at expensive restaurants when they earn more, then expensive restaurant meals are

- ☐ goods with a congestion-effect.
- ☐ goods with a network-effect.
- ☐ inferior goods.
- ☐ normal goods.

Question 34

1 pts

Suppose supply shifts out and demand shifts back. What happens to the equilibrium price and quantity?

- ☐ Price falls. The effect on quantity is uncertain.
- ☐ Quantity falls. The effect on price is uncertain.
- ☐ Both price and quantity fall.
- ☐ Quantity rises. The effect on price is uncertain.
- ☐ Price rises. The effect on quantity is uncertain.
- ☐ Both price and quantity rise.